

REVIEW QUESTIONS

- 1 What are three habits of test-wise students?
- 2 What is *deductive reasoning*?
- 3 What are the four most common testing formats?
- 4 What basic skills or procedures are usually evaluated during the practical examination?
- 5 Where can a barber expect to work?
- 6 What is a *resume*?
- 7 What are the skills mastered at other jobs that can be put to use in a new position?
- 8 What items should be included in an employment portfolio?
- 9 What are the three things you should bring to an interview?
- 10 What are the three questions that are illegal to be asked when interviewing for a job?

CHAPTER GLOSSARY

deductive reasoning (DEE-duck-tiv REAS-on-ing)	p. 710	the process of reaching logical conclusions by employing logical reasoning
employment portfolio (EM-ploy-ment PORT-fo-lee-oh)	p. 719	a collection, usually bound, of photos and documents that reflect your skills, accomplishments, and abilities in your chosen career field
practical exams (prac-ti-cal x-amz)	p. 713	hands-on testing on a live model or mannequin
resume (res-oo-MAY)	p. 716	written summary of a person's education and work experience
stem (STEM)	p. 711	the basic question or problem
test-wise (TEST-whys)	p. 709	understanding the strategies for successful test taking
transferable skills (TRANZ-fur-able SKILLZ)	p. 718	skills mastered at other jobs that can be put to use in a new position
work ethic (WOHRK ETH-ik)	p. 716	taking pride in your work and committing yourself to consistently doing a good job for your clients, employer, and barbershop team

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WORKING BEHIND
THE CHAIR

CHAPTER OUTLINE

INTRODUCTION

WHY STUDY WORKING BEHIND THE CHAIR?

DESCRIBE THE EXPECTATIONS OF MOVING FROM SCHOOL TO WORK

UNDERSTANDING THE REAL WORLD

MANAGE YOUR MONEY

DISCOVER THE SELLING YOU

KEEP CURRENT CLIENTS AND EXPAND YOUR CLIENT BASE

ON YOUR WAY

LEARNING OBJECTIVES

After completing this chapter, you will be able to:

LO1

Describe what is expected of a new employee and what this means in terms of your everyday behavior.

LO2

List the habits of a good barbershop team player.

LO3

Describe three different ways in which barbers are compensated.

LO4

Determine the best way to record your tips and make additional income.

LO5

Explain the principles of selling products and services in the barbershop.

LO6

List the most effective ways to build a client base.

figure 20-1

On to the next step in your career.



Introduction

Congratulations! You have worked hard in barbering school, passed your state's licensing exam, and been offered your first job in the field. Now, more than ever, you need to prioritize your goals and commit to personal rules of conduct and behavior. These goals and rules should guide you throughout your career. If you let them do so, you can expect to always have work and to enjoy all the freedom that your chosen profession can offer (Figure 20-1).

why study

WORKING BEHIND THE CHAIR?

Barbers should study and have a thorough understanding of working behind the chair because:

- Working in a barbershop requires each staff member to belong to and work as a team member of the shop. Learning to do so is an important aspect of being successful in the barbershop environment.
- There are a variety of ways that a barbershop may compensate employees. Being familiar with each way and knowing how it works will help you determine if the compensation system at a particular shop can work for you and what to expect from it.
- Once you are working as a barbering professional, you will have financial obligations and responsibilities, so learning the basics of financial management while you are building your clientele and business is invaluable.
- As you build your clientele and settle into your professional life, there will be opportunities for you to use a variety of techniques for increasing your income, such as retailing and upselling services. Knowing and using these techniques will help you promote yourself, build a loyal client base, and create a sound financial future for yourself.

Describe the Expectations of Moving from School to Work

After reading this section, you will be able to:

- LO 1** Describe what is expected of a new employee and what this means in terms of your everyday behavior.

Making the transition from school to work can be difficult. While you may be thrilled to have a job, working for a paycheck brings with it a number of duties and responsibilities that you may not have considered.

Barbering school is a forgiving environment. You are given the chance to do a certain procedure over and over again until you get it right. Making and fixing mistakes is an accepted part of the process, and your instructors

figure 20-2

(a) Time to transition from your school life (b) to your life behind the chair.

Photography by Jason Lott. Lily Benitez, Founder of Blade Craft Barber Academy.



and mentors are there to help you. Schedules may be adjusted if necessary, and you are given some leeway in the matter of juggling your personal life with the demands of your schooling (Figure 20-2a and 20-2b).

When you work in a barbershop, however, you will be expected to put the needs of the barbershop and its clients ahead of your own. This means that you must be on time for every scheduled shift and be prepared to perform whatever services or functions are required of you, regardless of what is happening in your personal life. For example, if someone comes to you with tickets for a concert on a day when you are scheduled to work, you cannot just take the day off. To do so would definitely inconvenience your clients, who might even decide not to return to the barbershop. It could also burden your coworkers, who might feel resentful if they are asked to take on your appointments.

Understanding the Real World

After reading this section, you will be able to:

- LO 2** List the habits of a good barbershop team player.
- LO 3** Describe three different ways in which barbers are compensated.

Many barbering graduates believe they should be rewarded with a high-paying job, performing only the kinds of services they wish to do, as soon as they graduate from school. It does not work out that way for most people. In a job, you may be asked to do work or perform services that are not your first choice. The good news is that when you are really working in the trenches, you are learning every moment, and there is no substitute for that kind of experience.



DID YOU KNOW?

Network with mentors, barbers, educators, and classmates; ask questions, take advice, listen, and consider all your options! By doing this, you will open yourself to knowledge, resources, and terrific barbering industry information.

What is important is to determine which type of position is right for you by being honest with yourself as you evaluate your skills. If you need help and direction in sorting out the issues around the various workplaces you are considering, ask your instructor for advice. If you choose a barbershop carefully, based on its culture and the type of shop and benefits you prefer, you will be off to a great start.

THRIVING IN A SERVICE PROFESSION

The first reality when you are in a service business is that your career revolves around serving your clients. There will always be some people who do not treat others with respect; however, the majority of people you encounter will truly appreciate the work you perform for them. They will look forward to seeing you, and they will show their appreciation for your hard work with their loyalty.

Here are some points that will help guide you as you meet your clients' needs:

- **Put others first.** You will have to quickly get used to putting your own feelings or desires aside and putting the needs of the barbershop and the client first. This means performing what is expected of you, unless you are physically unable to do so.
- **Be true to your word.** Choose your words carefully and honestly. Be someone who can be counted on to tell the truth and to do what you say you will do.
- **Be punctual.** Scheduling is central to the barbering business. Getting to work on time shows respect not only for your clients but also for your coworkers who will have to handle your clients if you are late.
- **Be a problem solver.** No job or situation comes without its share of problems. Be someone who recognizes problems promptly and finds ways to resolve them constructively.
- **Be a lifelong learner.** Valued employees continue to learn throughout their careers. Thinking that you are done learning once you are out of school is immature and limiting. Your career might go in all kinds of interesting directions, depending on what new things you learn. This applies to every aspect of your life. Besides learning new technical skills, you should continue gaining more insight into your own behavior and better ways to deal with people, problems, and issues.

figure 20-3
The barbering team.



BARBERSHOP TEAMWORK

Working in a barbershop requires that you practice and perfect your people skills. A barbershop is very much a team environment (**Figure 20-3**).

Photography by Jason Lott. Lilly Benitez, Founder of Blade Craft Barber Academy.

To become a good team player, you should do your best to practice the following workplace principles:

- **Strive to help.** Be concerned not only with your own success, but also with the success of others. Be willing to help a teammate by staying a little later or coming in a little earlier.
- **Pitch in.** Be willing to help with whatever needs to be done in the barbershop—from folding towels to making appointments—when you are not busy servicing clients.
- **Share your knowledge.** Be willing to share what you know. This will make you a respected member of any team. At the same time, be willing to learn from your coworkers by listening to their perspectives and techniques.
- **Remain positive.** Resist the temptation to give in to maliciousness and gossip.
- **Become a relationship builder.** Just as there are different kinds of people in the world, there are different types of relationships within the barbering world. You do not have to be someone's best friend to build a good working relationship with that person.
- **Be willing to resolve conflicts.** The most difficult part of being in a relationship is when conflict arises. A real teammate is someone who knows that conflict and tension are bad for the people who are in it, those who are around it, and the barbershop as a whole. Nevertheless, conflict is a natural part of life. If you can work constructively toward resolving conflict, you will always be a valued member of the team. If you do have a conflict, discuss it with the individual, not with others in the shop.
- **Be willing to be subordinate.** No one starts at the top. Keep in mind that beginners almost always start out lower down in the pecking order.
- **Be sincerely loyal.** Loyalty is vital to the workings of a barbershop. Barbers need to be loyal to the shop and its management. Management needs to be loyal to the staff and clients. Ideally, clients will be loyal to the employee and the barbershop. As you work on all the team-building characteristics, you will start to feel a strong sense of loyalty to your shop (**Figure 20-4**).

THE JOB DESCRIPTION

When you take a job, you will be expected to behave appropriately, perform services asked of you, and conduct your business professionally. To do this to the best of your abilities, you should be given a **job description** (JOHB des-CRIP-shun), a document that outlines all the duties and responsibilities of a particular position in a barbershop. Many shops have a preprinted job description available. If you find yourself at a shop that does

 **FOCUS ON**

Being a Good Teammate

While each individual may be concerned with getting ahead and being successful, a good teammate knows that no one can be successful alone. You will be truly successful if your entire barbershop is successful!

figure 20-4
Communication is the key to teamwork.





WEB RESOURCES

Most shops require you to take a certain amount of continuing education, even after you have been on the job for years. That's a good thing! The more you learn, the more you will earn, and barber-shop compensation studies prove it.

Continuing education online is not only travel-free and affordable, it also opens up a universe of global ideas and can be taken on in your own time. These websites will get you started:

- MiladyPro.com
Online resources including webinars, articles, videos, networking opportunities, and marketing tools to help you succeed.
- milady.cengage.com
Online courses in barber-shop management, personal and professional development, infection control, and much more.
- hairdesignertv.com
Video lessons from Vivienne Mackinder.
- prohairstylist.com.au
Education and trends from Australia.
- myhairdressers.com
Advanced cutting videos from the United Kingdom.
- modernsalon.com
Advanced education and business information.
- howtocuthair.com
Barbering videos.

not use job descriptions, you may want to write one for yourself. You can then present it to your shop manager for review, to ensure that you both have a good understanding of what is expected of you.

Once you have your job description, be sure you understand it. While reading it over, make notes and jot down questions you want to ask your manager. When you assume your new position, you are agreeing to do everything as it is written down in the job description. If you are unclear about something or need more information, it is your responsibility to ask.

Remember, you will be expected to fulfill all of the functions listed in the job description. How well you fulfill these duties will influence your future at the barbershop, as well as your financial rewards.

In crafting a job description, the best barbershops cover all the bases. They outline not only the employees' duties and responsibilities but also the attitudes that they expect their employees to have and the opportunities that are available to them. Like the shops that generate them, job descriptions come in all sizes and shapes, and they feature a variety of requirements, benefits, and incentives.

EMPLOYMENT CLASSIFICATIONS

When you assess a job offer, your first concern will probably be the compensation for your work. The way you will be paid for services performed in the barbershop will depend primarily on your employment status as an employee, independent contractor, or booth renter. Most barbers work as independent contractors or booth renters, although employee positions are available in some shops and salons. The U.S. Internal Revenue Service (IRS) categorizes independent contractors and booth renters as self-employed workers; these worker categories have certain required criteria and restrictions that are used to separate them from being designated as an employee for tax liability purposes.

Employee Status

As an **employee** (EM-ploy-ee), you might work on a salary, commission, or salary-plus-commission basis. You can expect to be told when and where to work in the form of required work hours, how to perform the job, and whether or not a uniform is required. Your clients will more than likely be booked for you, and you probably will not handle any money for services other than your tips. Training may be offered or required, depending on the needs of the business, and some establishments may provide insurance or vacation benefits.

As an employee, your employer is responsible for withholding income and Medicare taxes, paying a portion of your Social Security tax, paying unemployment taxes, and providing you with a Form W-2, Wage and Tax Statement. Your responsibilities as an employee include reporting all wages, tips of \$20.00 or more per month, commissions for product sales, and filing your personal income tax statement.

Independent Contractor Status

As an **independent contractor** (IN-dee-pen-dant CON-tract-uhr), you may rent a chair or work for a percentage of the proceeds of services you perform, but you must apply for a tax identification number and provide your own

business insurance coverage. You are also responsible for your own income and self-employment taxes and should receive a Form 1099-MISC from the shop owner when you earn over \$600.00 a year. Although business expenses may be deducted, all income and tips are to be reported and estimated quarterly tax payments may be required. To prove that you are working as an independent contractor for tax purposes, there must be a written agreement or contract between you and the shop owner. This agreement must include how you will be compensated, your responsibilities, what is included in the chair rental, and an end date for your work, along with additional stipulations as required. When set up properly, independent contractor agreements may be renewable. You are recommended to seek the guidance of an accountant to ensure the agreement conforms to current federal tax laws.

Booth Renter Status

In a **booth rental** (BOO-th ren-tal) arrangement, you are actually setting up a small business. This requires a contract with the shop owner, appropriate business licenses, insurance, a tax ID number, and tax designation as a booth renter or independent businessperson. As a booth renter, you lease space from the shop owner and are solely responsible for your own clientele, supplies, record keeping, workstation maintenance, and accounting. You handle all money transactions and are responsible for booking your own appointments. Usually, the only obligation to the shop owner is the weekly or monthly rent. You should be given a key to the establishment and be able to set your own hours and schedule.

One of the main advantages of booth rental is that you can become self-employed for a relatively small investment. The initial expenses are fairly low and usually limited to the costs incurred for rent, supplies, products, and personal promotion or advertising. For some booth renters, a very low overhead may balance equitably with the income generated as a beginning barber with a small clientele. However, a good rule to follow is to make sure your clientele is large enough to cover all overhead costs *and* pay you a salary.

Chair or booth rental may also be ideal for those individuals who are interested in part-time employment, want to supplement another income, or prefer to take a stepping-stone approach to shop ownership. Regardless of the motivation, a booth rental arrangement provides the means for an individual to retain most of the control and decision making as it applies to work schedules and professional goals.

Position availability, personal choice, convenience, and the level of responsibility you care to assume will influence the capacity in which you work. Be sure to familiarize yourself with applicable state and federal tax laws. Working as an independent contractor and working as a booth renter are forms of self-employment, meaning that paid holidays or vacation benefits are nonexistent. Instead, you will have to plan ahead and set aside savings for times when you are not working or an emergency arises.

WAGE STRUCTURES

As discussed previously, booth rental involves paying the shop owner a fixed amount of rent for the space. All the fees brought in from the performance of services are basically yours after paying for the rent and supplies. For the

employee or independent contractor, however, compensation may be structured in one of several different ways.

Straight or hourly salaries are most often seen in chain or franchise shops or salons but can provide you with a chance to earn a fixed income while building a clientele. Some shops offer an hourly wage that is slightly higher than the minimum wage to encourage new barbers to take the job and stick with it. With experience in the field and increased clientele, the fixed salary arrangement may evolve into a commission-based form of compensation.

In a **commission** (KAHM-ish-un) compensation structure, the employer pays you a percentage of the gross service sales you generate. Commission is usually offered once an employee has built up a loyal clientele. A commission payment structure is very different from an hourly wage, because any money you are paid is a direct result of the total amount of service dollars you generate for the shop. Commission percentages for barbers can vary greatly, anywhere from 40 to 70 percent, and depend on a variety of factors that may include your level of experience or the number of clients the shop services on a regular basis. Keep in mind that it may take you up to 2 years of performing services and building your clientele to make a living on straight commission compensation. Additionally, many states do not allow straight commission payments unless they average out to at least minimum wage.

A salary-plus-commission (sometimes called a *guarantee*) compensation arrangement usually guarantees a minimum base salary with a percentage of the amount over the base added to it for a total wage. This kind of structure is often used to motivate employees to perform more services, thereby increasing their productivity. As with salaried compensation, salary-plus-commission may also evolve into a commission-only wage status.

Commission wages are usually paid as a straight percentage of the total fees taken in for services; however, sometimes a fee is taken “off the top” for the shop, and the commission percentage is based on the remainder. Both employees and independent contractors may be paid on a commission basis. **Table 20-1** provides a summary of the differences involved when working as an employee, independent contractor, or booth renter.



HERE'S A TIP

Accepting a commission-paying position in a barbershop can have its positives and negatives for new barbers. If you think you have enough clients to work on commission and can make enough of a paycheck to pay your expenses, then go ahead and give it a try—it could be a great way to work into better commission scales or even booth renting. (As of this printing, Pennsylvania and New Jersey forbid booth renting by law, but other states may regulate licensing differently; always check.)

If you do not think you can make enough money being paid solely on a commission basis, then take a job in a barbershop that is willing to pay you an hourly wage until you build your client base. After you have honed your technical skills and built a solid client base, you can consider working on commission.

Tips

When you receive satisfactory service at a hotel or restaurant, you are likely to leave your server a tip. It has become customary for clients to acknowledge their barbers in this way, too. Some barbershops have a tipping policy; others have a no-tipping policy. This is determined by what the shop feels is appropriate for its clientele.

Tips are income in addition to your regular compensation and must be tracked and reported on your income tax return. Reporting tips will be beneficial to you if you wish to take out a mortgage or another type of loan and want your income to appear as strong as it really is.

As you can see, there are a number of ways to structure compensation for a barbershop professional. You will probably have the opportunity to try each of these methods at different points in your career. When deciding whether a certain compensation method is right for you, it is important to be aware of what your monthly expenses are and to have a personal financial budget in place. Budget issues are addressed later in this chapter.

table 20-1

EMPLOYMENT CLASSIFICATION OVERVIEW

Employee	Independent Contractor	Booth Renter
Work instructions are provided; job performance is evaluated	No instruction, training, or evaluation is provided	No instruction, training, or evaluation is provided
Training may be provided or required	May require personal investment in advanced training	Requires personal investment in advanced training
Operating hours are set or scheduled	Sets own hours and schedule with agreement	Sets own hours and work schedule
Appointments are scheduled by business	May schedule own appointments	Schedules own appointments
Services revenue most often collected at front desk	Services revenue may be collected at front desk	Services revenue is collected by booth renter
Equipment and facilities are provided	May pay for certain equipment or arrange an agreement; opportunity for profit and loss exists	Certain equipment included in lease; opportunity for profit and loss
Benefits may be provided	No benefits are provided	No benefits are provided
No rental agreement exists	Independent contractor agreement required. Requires agreement with an end date, wage payment information, responsibilities, etc.	Booth rental agreement is required. Requires lease with dates, fee, booth renter responsibilities, etc.
Expenses may be reimbursed	Expenses are not usually reimbursed	Expenses are not reimbursed
May be paid on hourly, salaried, commission, or salary-plus-commission basis	May work on percentage, commission, or flat fee; and agreements may be renewed. May work in more than one location	Responsible for collecting all service revenues
Uniforms may be required	Attire may be discussed in agreement	Generally the renter's decision
Income tax, portion of social security tax, Medicare tax, and unemployment tax are paid by employer	Is responsible for all taxes, licenses, and insurance	Is responsible for all taxes, licenses, insurance, and advertising
Amount of tips are recorded by employer	Responsible for own tips and taxes	Responsible for own tips and taxes
Employer is required to provide Form W-2, Wage and Tax Statement	May work within confines of shop hours. Owner is required to provide 1099 form	Requires submitting 1099 form to owner for rent paid

figure 20-5

A good role model can provide guidance as you start out.



EMPLOYEE EVALUATION

The best way to keep tabs on your progress is to ask for feedback from your shop manager and key coworkers. Most likely, the barbershop will have a structure in place for evaluation purposes. Commonly, evaluations are scheduled 90 days after hiring, and then once a year after that. But you should feel free to ask for help and feedback any time you need it. This feedback can help you improve your technical abilities as well as your customer service skills.

Ask a senior barber to sit in on one of your client consultations and to make note of areas where you can improve. Ask your manager to observe your technical skills and to point out ways you can perform your work more quickly and efficiently. Have a trusted coworker watch and evaluate

your skills when it comes to selling retail products. All of these evaluations will benefit your learning process enormously.

Find a Role Model

One of the best ways to improve your performance is to model your behavior after someone who is having the kind of success that you wish to have (Figure 20-5).

Watch other barbers in your shop. You will easily be able to identify who is really good and who is just coasting along. Focus on the skills of the ones who are really good. What do they do? How do they treat their clients? How do they treat the shop staff and manager? How do they book their appointments? How do they handle their continuing education? What process do they use when formulating color or selecting a product? What is their attitude toward their work? How do they handle a crisis or conflict?

Go to these professionals for advice. Ask for a few minutes of their time, but be willing to wait for it, because it may not be easy to find time to talk during a busy barbershop workday. If you are having a problem, explain your situation and ask if the mentor can help you see things differently. Be prepared to listen and not argue your points. Remember that you asked for help, even when what your coworker is saying is not what you want to hear. Thank your coworker for their help, and reflect on the advice you have been given.

A little help and direction from skilled, experienced coworkers will go a long way toward helping you achieve your goals.

DID YOU KNOW?

Barbers can increase their chances of building a solid and loyal clientele more quickly if they:

- live in a large city or choose areas within their cities that have a large number of potential clients
- select a location where the competition for clients is less saturated
- have advanced training, skills, and certifications
- have and use their artistic abilities
- employ marketing and publicity strategies
- concentrate on an unusual niche within the beauty business (e.g., teens)

Manage Your Money

After reading this section, you will be able to:

- LO 4** Determine the best way to record your tips and make additional income.

Although a career in the barbering industry is very artistic and creative, it is also a career that requires financial understanding and planning. Too many barbers live for the moment and do not plan for the future. They may end

up feeling cheated out of the benefits that their friends and family in other careers are enjoying.

In a corporate structure, the human resources department of the corporation handles a great deal of the employees' financial planning for them. For example, health and dental insurance, retirement accounts, savings accounts, and many other items may be automatically deducted and paid out of the employees' salary. Most barbering professionals, however, must research and plan for all of those expenses on their own. This may seem difficult, but in fact it is a small price to pay for the kind of freedom, financial reward, and job satisfaction that a career in barbering can offer. And the good news is that managing money is something everyone can learn to do.

REPAYMENT OF YOUR DEBTS

In addition to making money, responsible adults are concerned with paying back their debts. Throughout your life and your career, you will undoubtedly incur debt in the form of car loans, home mortgages, or student loans. While it is easy for some people to merely ignore their responsibility in repaying these loans, it is extremely irresponsible and immature to accept a loan and then shrug off the debt. Not paying back your loans is called *defaulting*, and it can have serious consequences regarding your personal and professional credit. Legal action can be taken against you if you fail to repay your loans. The best way to meet all of your financial responsibilities is to know precisely what you owe and what you earn so that you can make informed decisions regarding your finances. Before committing to a loan, make sure you understand the payment terms, interest rate, and what you realistically can afford.

REPORTING YOUR INCOME

As you enter your new career and work to become established, you most likely will be in a commissioned or salaried structure. When you receive your paycheck, taxes and other deductions will already be taken according to your state. When you complete your yearly taxes, it is critical that you report cash tips and other income that is not shown on your paycheck. Other income may be from performing work outside of the barbershop, such as performing services on location for weddings, parties, or in a private residence. There are serious legal consequences for not reporting such income including:

- fines and even potential jail time
- decreasing your borrowing power as it is based on your reported income
- reducing the amount of Social Security benefits for retirement
- lowering the Bureau of Labor's endorsement as a sustainable industry, leading to lower federal loans and grants available

The best way to record your tips and additional income is to keep a daily log. At the end of each week, add the total amount of your additional income. Next, add the total for the month and keep it on a single page in the front of your log book. At the end of the year, you will be able to easily report your total cash income for your taxes. Ethical barbers take the responsibility to comply with tax laws seriously and report their income accurately at the end of each year.



WEB RESOURCES

Optional info on budget topics and tutorials can be found at MiladyPro.com
Keyword: *FutureBarberPro*



FOCUS ON

Barbershop Technology

Today, it is common for most barbershops to utilize computer technology to support their shop. The increase in the number of computerized barbershops could be advantageous for technology-savvy students. You may be able to master barbershop software programs more easily than other barbers. These programs now handle cash flow management, inventory tracking, payroll automation, client appointment books, performance evaluation tracking, and more. Just remember, these client records are usually considered the barbershop's property. Additionally, cost-effective, online continuing education is increasingly popular.

If you are accustomed to working with technology, you may be able to help a barbershop set up e-mail access, a website, social networking pages, and more. With many clients enjoying the freedom of online booking and text-message appointment reminders, and with shops benefiting from e-mail or even electronic marketing programs, it is important for you to understand technology. Today, hair care manufacturers even have special educational programs you can access on your mobile phone and social networking pages where you can share inspiration or ask for instant help.



STUDENT ACTIVITY

Go through the budget worksheet and fill in the amounts that apply to your current living and financial situation. If you are unsure of the amount of an expense, put in the amount you have averaged over the past 3 months or give it your best guess. You may need to have 3 or 4 months of employment history to complete the income item, but fill in what you can. If the balance is a minus number, start listing ways you can decrease expenses or increase income.

Personal Budget

It is amazing how many people work hard and earn very good salaries but never take the time to create a personal budget. Many people are afraid of the word *budget*, because they think that it will be too restrictive on their spending or that they will have to be mathematical geniuses to work with a budget. Thankfully, neither of these fears is rooted in reality.

Personal budgets range from being extremely simple to extremely complex. The right one for you depends on your needs. At the beginning of your career, a simple budget should be sufficient. To get started, take a look at the Personal Monthly Budget Worksheet (Figure 20-6). It lists the standard monthly expenses that most people have to budget. It also includes school loan repayment, savings, and payments into an individual retirement account (IRA).

figure 20-6
A budget worksheet.

Personal Monthly Budget Worksheet	
A. Expenses	
1. Monthly rent (or share of the rent)	\$ _____
2. Car payment	_____
3. Car insurance	_____
4. Auto fuel/upkeep and maintenance	_____
5. Electricity	_____
6. Gas	_____
7. Health insurance	_____
8. Entertainment (movies, dining, etc.)	_____
9. Groceries	_____
10. Dry cleaning	_____
11. Personal grooming	_____
12. Prescriptions/medical	_____
13. Cell phone	_____
14. Internet/television/home phone	_____
15. Student loan	_____
16. IRA	_____
17. Savings deposit	_____
18. Other expenses	_____
TOTAL EXPENSES	\$ _____
B. Income	
1. Monthly take-home pay	_____
2. Tips	_____
3. Other income	_____
TOTAL INCOME	\$ _____
C. Balance	
Total Income (B)	_____
Minus Total Expenses (A)	_____
BALANCE	\$ _____

Keeping track of where your money goes is one step toward making sure that you always have enough. It also helps you to plan ahead and save for bigger expenses such as a vacation, your own home, or even your own business. All in all, sticking to a budget is a good practice to follow faithfully for the rest of your life.

Giving Yourself a Raise

Once you have taken some time to create, use, and work with your personal budget, you may want to look at ways in which you can have more money left over after paying bills. You might automatically jump to the most obvious sources, such as asking your employer for a raise or asking for a higher percentage of commission. While these tactics are certainly valid, you will also want to think about other ways to increase your income. Here are a few tips:

- **Spend less money.** Although it may be difficult to reduce your spending, it is certainly one way to increase the amount of money that is left over at the end of the month. These dollars can be used to invest, save, or pay down debt.
- **Work more hours.** If possible, choose times when the shop is busiest, which are the most convenient for clients. Come early and stay late to accommodate clients' booking needs. Saturday is a peak workday in most barbershops.
- **Increase service prices.** It will probably take some time before you are in a position to increase your service prices. For one thing, to do so, you need a loyal **client base** (KLY-ent baze), customers who are loyal to a particular barber, which in this instance is you. Also, you must have fully mastered all the services that you are performing. But if you have a loyal client base and service mastery, there is nothing wrong with increasing your prices every year or two, as long as you do so by a reasonable amount. Do a little research to determine what your competitors are charging for similar services, and increase your fees accordingly.
- **Retail more.** Most barbershops pay a commission on every product you recommend and sell to your clients. If you sell more products, you make more money!

Seek Professional Advice

Just as you will want your clients to seek out your advice and services for their hair care needs, sometimes it is important for you to seek out the advice of experts, especially when it comes to your finances. You can research and interview financial planners who will be able to give you advice on reducing your credit card debt, on how to invest your money, and on retirement options. You can speak to the officers at your local bank, who may be able to suggest bank accounts that offer you greater returns or flexibility with your money, depending on what you need.

When seeking out advice from other professionals, be sure not to take anyone's advice without carefully considering whether the advice makes sense for your particular situation and needs. Before you buy into anything, be an informed consumer about other people's goods and

services. Ask yourself these questions as you begin to think about going on a budget:

- How do your expenses compare to your income?
- What is your balance after all your expenses are paid?
- Were there any surprises for you in this exercise?
- Do you think that keeping a budget is a good way to manage money?
- Do you know of any other methods people use to manage money?

Discover the Selling You

After reading this section, you will be able to:

LO 5 Explain the principles of selling products and services in the barbershop.

Another area that touches on the issue of you and money is selling. As a barber, you will have enormous opportunities to sell retail products and upgrade service tickets. **Ticket upgrading** (TIK-it UP-grayd-ing), also known as *upselling services*, is the practice of recommending and selling additional services to your clients. These services may be performed by you or other professionals licensed in a different field. **Retailing** (REE-tail-ing) is the act of recommending and selling products to your clients for at-home use (**Figure 20-7**). These two activities can make all the difference in your economic picture. The following dialogue is an example of ticket upgrading. In this scene, Joey, the stylist, suggests an additional service to Mr. King, his client, who has just had his hair trimmed for a wedding he will be attending that evening.

figure 20-7

Retailing is vital to increasing revenue.



Read the script yourself and change the words to make them fit your personality. Then try it the next time you feel that an additional service could help one of your clients.

Joey: I'm really glad you like your haircut. I think it will be perfect with the new suit you described.

Mr. King: I don't know. To tell you the truth, I don't get dressed up all that often.

Joey: Yes, I know what you mean, but you're going to look great! We could even cover your grays to add more dimension to the cut, if you like.

Mr. King: Well, actually, I was sort of wondering about that.

Joey: I have an opening, if you want to do it now. How does that sound to you?

Mr. King: Definitely. That sounds terrific!

PRINCIPLES OF SELLING

Some barbers shy away from sales. They think that selling is being pushy. A close look at how selling works can set your mind at ease. Not only can you become very good at selling once you understand the principles behind it, but you can also feel good about providing your clients with a valuable service.

To be successful in sales, you need ambition, determination, and a pleasing personality. The first step in selling is to sell yourself. Clients must like and trust you before they will purchase services, skin care items, shampoos and conditioners, or other merchandise.

Remember, every client who enters the shop is a potential purchaser of additional services or merchandise. Recognizing the client's needs and preferences lays the foundation for successful selling (Figure 20-8).

To become a proficient salesperson, you must be able to apply the following principles of selling barbering products and services:

- Be familiar with the features and benefits of the various services and products that you are trying to sell, and recommend only those that the client really needs. You should try and test all the products in the barbershop yourself.
- Adapt your approach and technique to meet the needs and personality of each client. Some clients may prefer a soft sell that involves informing them about the product, without stressing that they purchase it. Others are comfortable with a hard-sell approach that focuses emphatically on why a client should buy the product.

figure 20-8

Every client is a potential purchaser of additional services and products.



figure 20-9

Demonstrate the product if possible.



- Be self-confident when recommending products for sale. You become confident by knowing about the products you are selling and by believing that they are as good as you say.
 - Generate interest and desire in the customer by asking questions that determine a need.
 - Never misrepresent your services or products. Making unrealistic claims will only lead to your client's disappointment, making it unlikely that you will ever again make a sale to that client.
 - Do not underestimate the client's intelligence or their knowledge of their own home care regimen or particular needs.
- To sell a product or service, deliver your sales talk in a relaxed, friendly manner. If possible, demonstrate the use of the product (**Figure 20-9**).
 - Recognize the right psychological moment to close any sale. Once the client has offered to buy, quit selling. Do not oversell; simply praise the client for making the purchase and assure the client that they will be happy with it.

THE PSYCHOLOGY OF SELLING

Most people have reasons for doing what they do, and when you are selling something, it is your job to figure out the reasons that will motivate a person to buy. When dealing with barbershop clients, you will find that their motives for buying barbering products vary widely. Some may be concerned with issues of vanity. (They want to look better.) Some are seeking personal satisfaction. (They want to feel better about themselves.) Others need to solve a problem that is bothersome. (They want to spend less time maintaining their hair.)

FOCUS ON

Overcoming Objections

Making sales won't always be easy. For example, sometimes a client is stuck on a haircolor that is not flattering. Other times, the client may not feel convinced a product is any better than a drugstore brand or the client may have a genuine price objection.

To overcome an objection, reword the objection in a way that addresses the client's need. For instance, let's say you recommend a shampoo based on the fact that your client has dry hair and he just had it colored. In response, he says he already has a shampoo for color-treated hair.

First, acknowledge what he said. Then reword his objection that he already has the right shampoo in a different way, which gets him thinking. For example:

"I know, but not all shampoos for color-treated hair are alike. This shampoo not only protects your color from fading, it will definitely moisturize it more, which is what adds the shine you told me you wanted. I can leave it at the front desk, so you can think about it."

If the objection is a price objection, base your reaction on the client's. For strong objections, acknowledge the price and offer a free sample, if you can. If the objection is moderate, acknowledge it and reiterate the product's benefits.

"It is a little more expensive, but if you really want your color to last and your hair to feel good and look shiny, this is the best product I've ever found. We used it on you today. See what you think, and let me know."

Always state things in terms of the client's benefit, based on the information you gathered during the consultation.

Sometimes a client may inquire about a product or service but still be undecided or doubtful. In this type of situation, you can help the client by offering honest and sincere advice. When you explain a barbering service to a client, address the results and benefits of that service. Always keep in mind that the best interests of the client should be your first consideration. You will need to know exactly what your client's needs are, and you need to have a clear idea as to how those needs can be fulfilled.

Here are a few tips on how to get the conversation started on retailing products:

- Ask all your clients what products they are using for home maintenance of their hair, skin, and nails.
- Discuss the products you are using as you use them. For instance, tell the client why you are using the particular mousse or spray gel and what it will do for them. Also explain how the client should use the product at home.
- Place the product in the client's hands whenever possible or have the product in view.
- Advise the client about how the recommended service will provide personal benefit (more manageable hairstyling or longer-lasting haircolor, for instance).
- Keep retail areas clean, well lit, and appealing.
- Inform clients of any promotions and sales that are going on in the barbershop.
- Be informed about the merits of using a professional product, as opposed to generic store brands.
- If you have time, offer a quick styling lesson. If your client has difficulty home styling, they will appreciate your guidance. After demonstrating, watch as the client mimics the recommended styling technique, so you can guide them.

While you realize that retailing products is a service to your clients, you may not be sure how to go about it. Imagine the following scenes and see how Louis highlights the benefits and features of a product to his client, Mr. Steiner. Notice that price is not necessarily the most important factor.

Scenario: Meet a Need

Mr. Steiner: I really like my new haircut. When should I be back for a trim?

Louis: You should come back in 3 to 4 weeks to maintain the style. By then, you'll have had time to work with the styling product I suggested.

Mr. Steiner: Is that what you used on me today? It seemed easy enough to use and doesn't look greasy.

Louis: Absolutely. Just dispense a little into your palms and distribute it through your hair. It's just that easy.

Mr. Steiner: Great!



FOCUS ON

Retailing

For quick reference, keep these five points in mind when selling:

1. Establish rapport with the client.
2. Determine the client's needs.
3. Recommend products/services based on these needs.
4. Emphasize benefits.
5. Close the sale.



ACTIVITY

Pick a partner from class and role-play the dynamics of a sales situation. Take turns being the customer and the barber. Evaluate each other on how you did, with suggestions about where you can improve. Then try this exercise with someone else because no two customers are the same.

Keep Current Clients and Expand Your Client Base

After reading this section, you will be able to:

LO6 List the most effective ways to build a client base.

Once you have mastered the basics of good service, take a look at some marketing techniques that will expand your client base—the customers who keep coming back to you for services.

The following are only a few suggestions; there are many others that may work for you. The best way to decide which techniques are most effective is to try several!

- **Send birthday cards.** Ask clients for their birthday information (just the month and day, not the year) on the client consultation card, and then use it as a tool to get them into the shop again. About 1 month prior to the client's birthday, send a card with a special offer. Make it valid only for the month of their birthday. This form of advertisement is not expensive, and it is always greatly appreciated.
- **Provide consistently good service.** It seems basic enough, but it is amazing how many professionals work hard to get clients, and lose them because they rush through a service, leaving clients feeling dissatisfied. Providing good-quality service must always be your first concern (Figure 20-10).
- **Be reliable.** Always be courteous, thoughtful, and professional. Be at the barbershop when you say you will be there, and do not keep clients waiting. Give your clients the style they ask for, not something else. Recommend a retail product only when you have tried it yourself and know what it can and cannot do.
- **Be respectful.** When you treat others with respect, you become worthy of respect yourself. Being respectful means that you do not gossip or make fun of anyone or anything related to the barbershop. Negative energy brings everyone down, especially you.

figure 20-10

Quality service must always come first.



- **Be positive.** Be one of those people who always sees the glass as half full. Look for the positive in every situation. No one enjoys being around a person who is always unhappy.
- **Be professional.** Sometimes a client may try to make your relationship more personal than it ought to be. It is in your best interest, and your client's best interest, not to cross that line.
- **Ask for your clients' e-mail addresses.** E-mail is now the preferred mode of

communication for many people. In fact, many clients now prefer to book appointments using e-mail.

- **Utilize social media.** The Internet is a powerful medium to build your reputation and attract new clients. Utilize social media tools such as Facebook and Yelp to establish your credibility, showcase your work, and provide a space for satisfied clients to recommend you. Create a Facebook page dedicated to your business, and make it a place to share barbering tips, trends, and shop information and promotions. Post before-and-after photos to illustrate your skills (but always gain approval from your clients before sharing their photos). Yelp is a powerful tool to build your brand. If the barbershop has a Yelp listing, be sure to utilize it as a way to strengthen your business. Satisfied clients are able to post a review of your services and provide a rating of their overall experience. It is always a good practice to casually invite your clients to provide a review; however, it is not ethical to pressure anyone to do so.
- **Business card referrals.** Make up a special business card with your information on it, but leave room for a client to put his name on it as well. If your client is clearly pleased with your work, give him several cards. Ask him to put his name on them and to refer his friends and associates to you. For every card you receive from a new customer with the client's name on it, give him 10 percent off his next barbering service or a complimentary added service to his next appointment. This gives the client lots of motivation to recommend you to others, which in turn helps build up your clientele.
- **Local business referrals.** Another terrific way to build business is to work with local businesses to get referrals. Look for gyms, tailors, diners, cigar shops, tattoo parlors, and other small businesses near your barbershop. Offer to have a card swap and commit to referring your clients to them when they are in the market for goods or services that your neighbors can provide, if they will do the same for you. This is a great way to build a feeling of community among local vendors and to reach new clients you may not be able to otherwise.
- **Public speaking.** Make yourself available for public speaking at local groups, the PTA, organizations for young men and women, and anywhere else that will put you in front of people in your community who are all potential clients. Put together a short program (20 to 30 minutes) in which, for example, you might discuss professional appearance with emphasis in your chosen field and other grooming tips for people looking for jobs or who are already employed.

REBOOKING CLIENTS

The best time to think about getting your clients back into the shop is while they are still in your shop. It may seem a little difficult to assure your clients that you are concerned with their satisfaction on this visit while you are talking about their next visit, but the two go together. The best way to encourage your clients to book another appointment before they leave is to simply talk with them, ask questions, and listen carefully to their answers.



FOCUS ON

Building Your Efficiency

Some professionals believe that the more time they spend with their clients performing services, the better the service will be. Not so! Unless your shop has a lounge, your client should be in the barbershop only as long as is necessary for you to adequately complete a service.

Be aware of how much time it takes you to perform your various services, and then schedule accordingly. As you become more and more experienced, you should see a reduction in the amount of time it takes you to perform these services. That means clients wait less, and you can increase the number of services you perform each day. The increase in services naturally increases your income.



HERE'S A TIP

There are plenty of books and web articles that give great strategies for building a client base and keeping those clients coming back to you. Look into these and make a list of the suggestions that seem like a good fit for you, your client base, and your barbershop. Then choose one strategy to try every 2 to 3 months, and see how well it worked for you. If it helped you to accomplish your goal of getting and keeping new clients, then put a star next to it and save the idea to use again when the time is right!

When you are working on a client's hair, for instance, talk about the condition of their hair, their hairstyling habits at home, and the benefits of regular or special shop maintenance. You will want to listen carefully to what your clients tell you during their visit, because they will often give the careful listener many good clues as to what is happening in their lives. Those clues will open the door to a discussion about their next appointment.

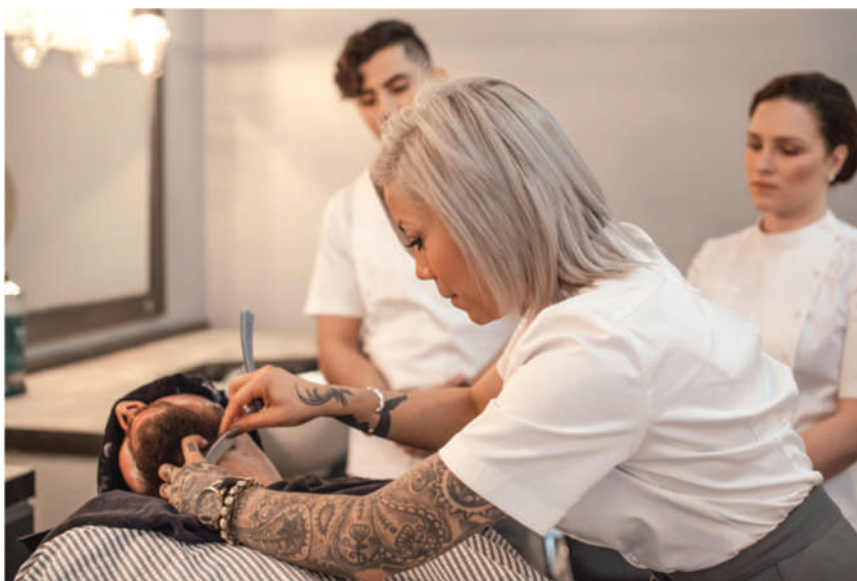
On Your Way

Your first job in this industry will most likely be the most difficult. Getting started in this business means spending some time on a steep learning curve. Be patient with yourself as you transition from the “school you” to the “professional you.” Always remember that in your work life, as in everything else you do, practice makes perfect. You will not know everything you need to know right at the start, but be confident in the fact that you are graduating from barbering school with a solid knowledge base. Make use of the many generous and experienced professionals you will encounter, and let them teach you the tricks of the trade. Make the commitment to perfecting your technical and customer service skills.

Above all, always be willing to learn. If you let the concepts that you have learned in this book be your guide, you will enjoy your life and reap the amazing benefits of a career in barbering (**Figure 20-11**).

figure 20-11

Welcome to your career in barbering!



Photography by Jason Lott. Lilly Benitez, Founder of Blade Craft Barber Academy.

REVIEW QUESTIONS

- 1 What are the workplace principles to practice to become a good team player?
- 2 If your employer does not provide a job description, what should you do?
- 3 What are the three common employment statuses for barbers?
- 4 What are the three most common methods of compensation you're likely to encounter?
- 5 What are six ways to build a solid and loyal clientele more quickly?
- 6 What are four serious legal consequences for not reporting income, including tips?
- 7 What are four tips for increasing your income?
- 8 What is ticket upgrading?
- 9 What are the principles of selling barbering products and services?
- 10 What are three possible marketing techniques for maintaining and expanding your client base?

CHAPTER GLOSSARY

booth rental (BOO-th ren-tal)	p. 739	also known as <i>chair rental</i> ; a form of self-employment, business ownership, and tax designation, distinguished by renting a booth or station in a barbershop
client base (KLY-ent baze)	p. 745	customers who are loyal to a particular barber
commission (KAHM-ish-un)	p. 740	a percentage of the revenue that the barbershop takes in from services performed by an employee, usually offered to that employee once the individual has built up a loyal clientele
employee (EM-ploy-ee)	p. 738	employment classification in which the employer withholds certain taxes and has a high level of control
independent contractor (IN-dee-pen-dant CON-tract-uhr)	p. 738	a form of self-employment and tax designation with specific responsibilities for bookkeeping, taxes, insurances, and so on
job description (JOHB des-CRIP-shun)	p. 737	document that outlines all the duties and responsibilities of a particular position in a barbershop
retailing (REE-tail-ing)	p. 746	the act of recommending and selling products to your clients for at-home use
ticket upgrading (TIK-it UP-grayd-ing)	p. 746	also known as <i>upselling services</i> ; the practice of recommending and selling additional services to your clients

21



THE BUSINESS OF
BARBERING

CHAPTER OUTLINE

INTRODUCTION

WHY STUDY THE BUSINESS
OF BARBERING?

REVIEW TYPES OF BUSINESS
OPTIONS

UNDERSTAND BOOTH RENTAL

UNDERSTAND THE ELEMENTS OF
A SUCCESSFUL BARBERSHOP

KNOW HOW TO BUILD YOUR
BUSINESS

LEARNING OBJECTIVES

After completing this chapter, you will be able to:

LO1

Identify two options for going into business for yourself.

LO2

List the basic factors to be considered when opening a barbershop.

LO3

Compare types of barbershop ownership.

LO4

Recognize the information that should be included in a business plan.

LO5

Explain the importance of record keeping.

LO6

Examine the responsibilities of a booth renter.

LO7

Distinguish the elements of successful barbershop operations.

LO8

Validate why advertising is a vital aspect of a barbershop's success.

figure 21-1
Be successful.



Introduction

The better prepared you are to be both a great artist and a successful businessperson, the greater your chances of success (Figure 21-1).

Entire books have been written on each of the topics touched on in this chapter, so be prepared to read and research your business idea extensively before making any final decisions about opening a business. The following information is only meant to be a general overview.

why study THE BUSINESS OF BARBERING?

Barbers should study and have a thorough understanding of the business of barbering because:

- As you become more proficient in your craft and your ability to manage yourself and others, you may decide to become an independent booth renter or even a barbershop owner. In fact, most owners are barbers.
- Even if you spend your entire career as an employee of someone else's barbershop, you should be familiar with the rules of business that affect the shop. It is also important to look at your career behind the chair as your own business.
- To become a successful entrepreneur, you will need to attract employees and clients to your business and maintain their loyalty over long periods of time.
- Business knowledge will serve you well in managing your career and professional finances, as well as your business practices.

Review Types of Business Options

After reading this section, you will be able to:

- LO 1 Identify two options for going into business for yourself.
- LO 2 List the basic factors to be considered when opening a barbershop.
- LO 3 Compare types of barbershop ownership.
- LO 4 Recognize the information that should be included in a business plan.
- LO 5 Explain the importance of record keeping.

If you reach a point in your life when you feel that you are ready to become your own boss, you will have two main options to consider: (1) owning your own barbershop or (2) renting a booth in an existing shop or salon.

Both options are extremely serious undertakings that require significant financial investment and a strong line of credit. Barbershop owners have a very different job than barbers because typically, they continue to work behind the chair while they manage the business. This is extremely time consuming, and there is no guarantee of profits, which is why barbershop ownership is definitely not for everyone. Owning your own shop and renting a booth have different pros and cons.

OPENING YOUR OWN BARBERSHOP

Opening your own barbershop is a huge undertaking—financially, physically, creatively, and mentally—because you will face challenges that are complex and unfamiliar to you. Before you can open your doors, you need to decide what products to use and carry, what types of marketing and promotions you will employ, the best method and philosophy for running the business and creating a culture, and whom to hire if you need additional staff.

Regardless of the type of barbershop you hope to open, you should carefully consider basic issues and perform basic tasks, as outlined in the following section.

Create Your Brand Identity

Creating your brand identity at the start is essential for building a unique, successful business. To create your brand, start by identifying a few simple concepts to use as building blocks for your brand identity.

- What is your point of difference? What is going to make a client want to visit your business versus the one across the street?
- What are you selling? Every barbershop sells haircuts; think beyond the obvious. Are you selling a luxury experience, a family-friendly environment, or a cost-conscious express service?
- What is your aesthetic? Will there be a consistent color, theme, or uniform for your staff?

Identifying the answers to these three main questions solidifies your concepts and serves as reference. Refer to them frequently for inspiration, guidance, and a reminder of what your business is built upon.

Create a Vision and Mission Statement for the Business with Goals

A **vision statement** (VIZ-uhn state-ment) is a sweeping picture of the long-term goals for the business, what it is to become, and what it will look like when it gets there. A mission statement is a guide to the actions of the organization: It spells out the overall goals, provides a path, and contains the core values to help guide decision making. The mission statement lays the foundation for how your company's strategies are created. **Goals** (GOHLZ) are an essential set of benchmarks that, once achieved, help you to realize your mission and your vision. It is important to set realistic goals for both the short term and long term.

Create a Business Timeline

While initially you will be concerned with the first two aspects of the timeline, once your business is successful you will need to think about the others as well.

- **Year 1.** It could take a year or more to determine and complete all of the aspects of starting the business.
- **Years 2 to 5.** This time period is for tending to the business, its clientele, and its employees and for growing and expanding the business so that it is profitable.
- **Years 5 to 10.** This time period, if successfully achieved, can be for adding more locations, expanding the scope of the business, constructing a larger space, or anything else you or your clients need and want.
- **Years 11 to 20.** In this time period, you may want to move from being a working barber into a full-time manager of the overall business and to begin planning for your eventual retirement.
- **Year 20 Onward.** This may be the perfect time to consider selling your successful business or changing it in some way, such as taking on a junior partner and training him to take over the day-to-day operations of the business so you can have time away from the business to explore your interests or hobbies.

Determine Business Feasibility

Determining whether or not the business you envision is feasible means addressing certain practical issues. For example, do you have a special skill or talent that can help you set your business apart from other barbershops in your area? Does the town or area where you are planning to locate the business offer you the appropriate type of clientele for the products and services you want to offer? Based on what you envision for the business, how much money will you need to open the business? Is this funding available to you?

Choose a Business Name

The name you select for your business explains what it is and can also identify characteristics that set your business apart from competitors in the marketplace. The name you select for your business will also influence how clients and potential clients perceive the business. The name will create a picture of your business in clients' minds, and once that picture is imagined, it can be very difficult to change the perception. In addition, once your business is named, it is complicated to make all of the legal, banking, and tax changes if you change your mind.

Choose a Location

You will want to base your business location on your primary clientele and their needs. Select a location that has good visibility, high traffic, easy access, sufficient parking, and handicap access (**Figure 21-2**).

Written Agreements

Many **written agreements** (RIT-en UH-gree-mentz) and documents govern the opening of a barbershop, including leases, vendor contracts, and employee contracts. All of these written agreements detail, usually for legal purposes, who does what and what is given in return. You must be able to read and understand them. Additionally, before you open a barbershop, you must

figure 21-2

Scout the best location for your shop.



© Zoran Milich/Moment Mobile/Getty Images.

develop a **business plan** (BIZ-nez plahn), a written description of your business as you see it today and as you foresee it in the next 5 years (detailed by year). A business plan is more of an agreement with yourself, and it is not legally binding. However, if you wish to obtain financing, it is essential that you have a business plan in place first. The plan should include a general description of the business and the services that it will provide; area **demographics** (dem-oh-graf-iks), which consist of information about a specific population, including data on race, age, income, and educational attainment; expected salaries and cost of related benefits; an operations plan that includes pricing structure and expenses, such as equipment, supplies, repairs, advertising, taxes, and insurance; and projected income and overhead expenses for up to 5 years. A certified public accountant (CPA) can be invaluable in helping you gather accurate financial information. The Chamber of Commerce in your proposed area typically has information on area demographics.

Business Regulations and Laws

Business regulations and laws (BIZ-nez reg-U-lay-shuns AND LAWZ) are any and all local, state, and federal regulations and laws that you must comply with when you decide to open your barbershop or rent a booth. Since the laws change from year to year and vary from state to state and from city to city, it is important that you contact your local authorities regarding business licenses, permits, and other regulations, such as zoning and business inspections. Additionally, you must know and comply with all federal Occupational Safety and Health Administration (OSHA) guidelines, including those requiring that information about the ingredients of cosmetic preparations be available to employees. OSHA requires Safety Data Sheets (SDSs) for this purpose. There are also many federal laws that apply to hiring and firing, payment of benefits, contributions to employee entitlements (e.g., Social Security and unemployment), and workplace behavior.

Understanding the laws and rules of owning a barbershop is imperative to running a successful business. The laws and rules not only lay the

foundation of acceptable guidelines regarding hiring and firing but also build a framework for day-to-day policies and procedures and safety. Not following the laws and rules can result in costly fines and heavy penalties. It is important to become very familiar with the local, state, and federal laws and rules before you open your business.

When you open your business, you need to purchase **insurance** (in-SHUR-ens) that guarantees protection against financial loss from malpractice, property liability, fire, burglary and theft, and business interruption. You need to have disability policies as well. Make sure that your policies cover you for all the monetary demands you have to meet on your lease.

Barbershop Operation

Business or **barbershop operation** refers to the ongoing, recurring processes or activities involved in the running of a business for the purpose of producing income and value.

Record Keeping

Record keeping (REK-urd KEEP-ing) is the act of maintaining accurate and complete records of all financial activities in your business.

Barbershop Policies

Barbershop policies are the rules and regulations adopted by a barbershop to ensure that all clients and associates are being treated fairly and consistently. Even small shops and booth renters should have barbershop policies in place.

TYPES OF BARBERSHOP OWNERSHIP

A barbershop can be owned and operated by an individual, a partnership, or a corporation or franchise. Before deciding which type of ownership is most desirable for your situation, research each option thoroughly. There are excellent reference tools available, and you can also consult a small business attorney for advice.

Individual Ownership

If you like to make your own rules and are responsible enough to meet all the duties and obligations of running a business, individual ownership may be the best arrangement for you.

The **sole proprietor** (SOHL PRHO-pry-eh-tohr) is the individual owner and, most often, the manager of the business who:

- determines policies and has the last say in decision making
- assumes expenses, receives profits, and bears all losses

Partnership

Partnerships may mean more opportunity for increased investment and growth. They can be fantastic if the right chemistry exists, or they can be disastrous if you find yourself linked with someone you wish you had known better in the first place. Your partner can incur losses or debts that you may not even be aware of unless you use a third-party accountant. Trust is just one of the requirements for this arrangement (**Figure 21-3**).

In a **partnership** (PART-nur-ship) business structure, two or more people share ownership—although not necessarily equally.

- One reason for going into a partnership arrangement is to have more **capital** (KAP-uh-tal), or money to invest in a business; another is to have help running your operation.
- Partners also pool their skills and talents, making it easier to share work, responsibilities, and decision making.
- Keep in mind that partners must assume one another's liability for debts.

Corporation

A **corporation** (KOR-pour-aye-shun) is an ownership structure controlled by one or more stockholders. Incorporating is one of the best ways that a business owner can protect their personal assets. Most people choose to incorporate solely for this reason, but there are other advantages as well. For example, the corporate business structure saves you money in taxes, provides greater business flexibility, and makes raising capital easier. It also limits your personal financial liability if your business accrues unmanageable debts or otherwise runs into financial trouble.

Characteristics of corporations are generally as follows:

- Corporations raise capital by issuing stock certificates or shares.
- Stockholders (people or companies that purchase shares) have an ownership interest in the company. The more stock they own, the bigger that interest becomes.
- You can be the sole stockholder (or shareholder), or you can have many stockholders.
- Corporate formalities, such as director and stockholder meetings, are required to maintain a corporate status.
- Income tax is limited to the salary that you draw and not the total profits of the business.
- Corporations cost more to set up and run than a sole proprietorship or partnership. For example, there are the initial formation fees, filing fees, and annual state fees.
- A stockholder of a corporation is required to pay unemployment insurance taxes on their salary, whereas a sole proprietor or partner is not.

Your accountant may suggest that your business become an S Corporation (Small Business Corporation), which is a business elected for S Corporation status through the IRS. This status allows the taxation of the company to be similar to a partnership or sole proprietor as opposed to paying taxes based on a corporate tax structure. Or your accountant may suggest that your business become registered as an LLC (Limited Liability Company), which is a type of business ownership combining several features of corporation and partnership structures. Owners of an LLC also have the liability protection of a corporation. An LLC exists as a separate entity, much like a corporation. Members cannot be held personally liable for debts unless they have signed a personal guarantee.

figure 21-3

Business partnerships can have many benefits.



DID YOU KNOW?

When you open your own business, you should consult with an attorney and an accountant before filing any documents to legalize your business. It is helpful to find these kinds of professionals who have previous experience in the barbering business. Your attorney will advise you of the legal documents and obligations that you will take on as a business owner, and your accountant can inform you of the ways in which your business may be registered for tax purposes.

Franchise Ownership

A franchise is a form of business organization in which a firm that is already successful (the franchisor) enters into a continuing contractual relationship with other businesses (franchisees) operating under the franchisor's trade name in exchange for a fee. When you operate a franchise shop, you usually operate under the franchisor's guidance and must adhere to a contract with many stipulations. These stipulations ensure that all locations in the franchise are run in a similar manner, look the same way, use the same logos, and, sometimes, even train the same way or carry the same retail products.

Franchises offer the advantage of a known name and brand recognition, and the franchisor does most of the marketing for you. Also, many have protected territories, meaning another franchise barbershop with the same name cannot open up within your fixed geographic area. However, franchise agreements vary widely in what you can and cannot do on your own. Owning a franchise is no guarantee of making a profit, and you should always research the franchise, talk to other owners of the franchise's shops, and have an attorney read the contract and explain anything you do not understand, including your precise obligations and arrangements for paying the franchise fee. In most cases, whether or not you are profitable, you must pay the fee.

BUSINESS PLAN

Regardless of the type of barbershop you plan to own, it is imperative that you have a thorough and well-researched business plan. Remember, the business plan is a written plan of a business as it is seen in the present and envisioned in the future, and it follows your business throughout the entire process from start-up through many years in the future. Many books, classes, DVDs, and websites offer much more detailed information than can be provided here, but the following is a sampling of the kinds of information and materials that a business plan should include (Figure 21-4).

figure 21-4
Create a solid business plan.



© T. L. Furrer/Shutterstock.com.

- **Executive summary.** Summarizes your plan and states your objectives.
- **Vision statement.** A long-term picture of what the business is to become and what it will look like when it gets there.
- **Mission statement.** A description of the key strategic influences of the business, such as the market it will serve, the kinds of services it will offer, and the quality of those services.
- **Organizational plan.** Outlines employees and management levels and also describes how the business will run administratively.
- **Marketing plan.** Outlines all of the research obtained regarding the clients your business will target and their needs, wants, and habits.
- **Financial documents.** Includes the projected financial statements, actual (historical) statements, and financial statement analysis.
- **Supporting documents.** Includes the owner's resume, personal financial information, legal contracts, and any other agreements.
- **Barbershop policies.** Even small shops and booth renters should have policies that they adhere to. These policies ensure that all clients and employees are treated fairly and consistently.

PURCHASING AN ESTABLISHED BARBERSHOP

Purchasing an existing barbershop could be an excellent opportunity, but, as with anything else, you have to look at all sides of the picture. If you choose to buy an established shop, seek professional assistance from an accountant and a business lawyer. You can purchase all the assets of a shop or some or all of its stock. It is important to know, if you purchase an established barbershop, you are not purchasing the staff or clientele. There is no guarantee that with new ownership the staff will be retained or that the clients will continue to return. In general, any agreement to buy an established barbershop should include the following items:

- A financial audit to determine the actual value of the business once the current owner's bookings are taken out of the equation. Often, the barbershop owner brings in the bulk of the business income, and it is unlikely you will retain all the former owner's clients without a lot of support and encouragement from that former owner. Any existing financial statements should also be audited.
- Written purchase and sale agreement to avoid any misunderstandings between the contracting parties.
- Complete and signed statement of inventory (goods, fixtures, etc.) indicating the value of each article.
- If there is a transfer of a note, mortgage, lease, or bill of sale, the buyer should initiate an investigation to determine whether there are defaults in the payment of debts.
- Confirmed identity of the owner.
- Use of the barbershop's name and reputation for a definite period of time.

ACTIVITY

Form student groups to plan the practical side of your own barbershops. Divide into teams. Designate certain tasks to specific team members, or decide if everyone will work on every task as a group. Each group should perform the following tasks:

- Decide on a name for their shop.
- Determine what services will be offered.
- Create fun signage for the shop's exterior.
- Write a vision statement for their shop.
- Write a mission statement for their shop.
- Create an organizational plan and a marketing plan for their shop.

Most students will not be able to develop complex budgets, but if you feel up to it, decide on a specific budget and allocate it to key areas, such as decorating, equipment, supplies, and personnel. Ask your instructors to provide feedback about whether your budget is realistic.

- Disclosure of any and all information regarding the barbershop's clientele and its purchasing and service habits.
- Disclosure of the conditions of the facility. If you are buying the actual building, a full inspection is in order, and many other legalities apply. Be guided by your realtor and attorney.
- Noncompete agreement stating that the seller will not work in or establish a new barbershop within a specified distance from the present location.
- An employee agreement, either formal or informal, that lets you know if the employees will stay with the business under its new ownership. Existing employee contracts should be transferable.

DRAWING UP A LEASE

In most cases, owning your business does not mean that you own the building that houses your business. When renting or leasing space, you must have an agreement between you and the building's owner that has been well thought out and well written. The lease should specify clearly who owns what and who is responsible for which repairs and expenses. You should also secure the following:

- Exemption of fixtures or appliances that might be attached to the barbershop so that they can be removed without violating the lease.
- Agreement about necessary renovations and repairs, such as painting, plumbing, fixtures, and electrical installation.
- Option from the landlord that allows you to assign the lease to another person. In this way, obligations for the payment of rent are kept separate from the responsibilities of operating the business, should you decide to bring in another person or owner.

PROTECTION AGAINST FIRE, THEFT, AND LAWSUITS

As a business owner, you must protect the business, clients, and shop staff on several levels. Some of the ways you can reduce risk and ensure this protection include:

- Ensure that your business has adequate locks, fire alarm system, burglar alarm system, and surveillance system.
- Purchase liability, fire, malpractice, and burglary insurance, and do not allow these policies to lapse while you are in business.
- Be thoroughly familiar with all laws governing barbering and with the safety and infection control codes of your city and state.
- Keep accurate records of the number of employees, their salaries, lengths of employment, and Social Security numbers as required by various state and federal laws that monitor the social welfare of workers.
- Ignorance of the law is no excuse for violating it. Always check with your regulatory agency if you have any questions about a law or regulation.

LEARN MORE!

Optional info on barbershop business topics and tutorials can be found at MiladyPro.com; keyword: *FutureBarberPro*.

BUSINESS OPERATIONS

Whether you are an owner or a manager, there are certain skills that you must develop to successfully run a barbershop. To run a people-oriented business, you need:

- an excellent business sense, aptitude, good judgment, and diplomacy
- knowledge of sound business principles

Because it takes time to develop these skills, it would be wise of you to establish a circle of contacts—business owners, including some barbershop owners—who can give you advice along the way. Consider joining a local entrepreneurs' group or your city's Chamber of Commerce to extend the reach of your networking. The Chamber of Commerce is a local organization of businesses and business owners whose goal is to promote, protect, and further the interests of businesses in a community. Smooth business management depends on the following factors:

- Sufficient investment capital
- Efficiency of management
- Good business procedures
- Strong computer skills
- Cooperation between management and employees
- Trained and experienced barbershop personnel
- Excellent customer service delivery
- Proper pricing of services

Allocation of Money

As a business operator, you must always know where your money is being spent. A good accountant and an accounting system are indispensable.

Table 21-1 serves as a guideline, but the figures may vary depending on the locality.

THE IMPORTANCE OF RECORD KEEPING

Good business operations require a simple and efficient record system.

Proper business records are necessary to meet the requirements of local, state, and federal laws regarding taxes and employees. Records are of value only if they are correct, concise, and complete. Proper bookkeeping methods include keeping an accurate record of all income and expenses. Income is usually classified as receipts from services and retail sales. Expenses include rent, utilities, insurance, salaries, advertising, equipment, and repairs. Retain all check stubs, cancelled checks, receipts, and invoices. A professional accountant or a full-charge bookkeeper is recommended to help keep records accurate. **Table 21-1** is a generalization, and percentages can vary from city to city. For example, rent in New York City may be a different percentage of sales than in Duluth, Minnesota.

table 21-1

FINANCIAL BENCHMARKS FOR BARBERSHOPS
IN THE UNITED STATES

Expenses	Percent of Total Gross Income
Salaries and Commissions (Including Payroll Taxes)	53.5
Rent	13.0
Supplies	5.0
Advertising	3.0
Depreciation	3.0
Laundry	1.0
Cleaning	1.0
Light and Power	1.0
Repairs	1.5
Insurance	0.75
Telephone	0.75
Miscellaneous	1.5
Total Expenses	85.0
Net Profit	15.0
Total	100.0

Courtesy Kopsa Otte CPAs & Advisors in York, NE, nationally known as the only accounting firm that specializes in salons and spas.

The term *full-charge bookkeeper* refers to someone who is trained to do everything from recording sales and payroll to generating a profit-and-loss statement. The most important part of record keeping is having the ability to defend your business in the case of an audit by the federal or state government and to have accurate proof of all sales made and taxes paid.

Purchase and Inventory Records

The purchase of inventory and supplies should be closely monitored. Purchase records help you maintain a perpetual inventory, which prevents overstocking or a shortage of needed supplies, and they alert you to any incidents of theft. Purchase records also help establish the net worth of the business at the end of the year.

Keep a running inventory of all supplies, and classify them according to their use and retail value. Those to be used in the daily business operation are **consumption supplies** (KON-sump-shun sup-LYZ). Those to be sold to clients are **retail supplies** (REE-tail sup-LYZ). Both categories have different tax responsibilities, so be sure to check with your accountant that you are charging the proper taxes.

Service Records

Always keep service records or client cards that describe treatments given and merchandise sold to each client. Using a barbershop-specific software program for this purpose is highly recommended. All service records should include the name and address of the client, the date of each purchase or service, the amount charged, the products used, and the results obtained. Clients' preferences and tastes should also be noted.

Understand Booth Rental

After reading this section, you will be able to:

LO6 Examine the responsibilities of a booth renter.

Booth rental involves renting a booth or a station in a barbershop or salon. This practice is popular in shops all over the United States. Many people see booth rental or renting a station as a more desirable alternative to owning a barbershop.

In a booth rental arrangement, a professional generally rents a station or work space in a barbershop or salon for a weekly fee paid to the shop owner. Booth renters are solely responsible for their own clientele, supplies, record keeping, and accounting and have the ability to be their own boss with very little capital investment.

Booth rental is a desirable situation for many barbers who have large, steady clientele and who do not have to rely on the shop's general clientele to keep busy. Unless you are at least 70 percent booked all the time, however, it may not be advantageous to rent a booth.

Although it may sound like a good option, booth renting has its share of obligations, such as the following:

- Keeping records for income tax purposes and other legal reasons.
- Paying all taxes, including higher Social Security (double that of an employee).
- Carrying adequate malpractice insurance and health insurance.
- Complying with all IRS obligations for independent contractors. Go to irs.gov and search for independent contractors.
- Using your own telephone and booking systems.
- Collecting all service fees, whether they are paid in cash or via a credit card.
- Creating all professional materials, including business cards and a service menu.
- Purchasing of all supplies, including back bar and retail supplies and products.
- Tracking and maintaining inventory.
- Managing the purchase of products and supplies.
- Budgeting for advertising or offering incentives to ensure a steady flow of new clients.



DID YOU KNOW?

Some states do not recognize booth rental as an acceptable method of doing business. Check with your state to be aware of all the latest laws and regulations.

- Paying for all continuing education.
- Working in an independent atmosphere where teamwork usually does not exist and where barbershop standards are interpreted on an individual basis.
- Adhering to state laws and regulations. To date, TWO STATES (Pennsylvania and New Jersey) do not allow booth rental at all; others may require that each renter in an establishment hold his own establishment license and carry individual liability insurance. Always check with your state regulatory agency.

As a booth renter, you will not enjoy the same benefits as an employee of a barbershop would, such as paid days off or vacation time when they are provided. Remember, as a booth renter, when you do not work, you do not get paid. Perhaps, most important, you must continually attract new clients and maintain the ones you have, which means working the hours your clients need you to be available. For more information on booth rental as a business option, reference Milady's: *Booth Renting 101: A Guide for the Independent Stylist*.

Understand the Elements of a Successful Barbershop

After reading this section, you will be able to:

LO 7 Distinguish the elements of successful barbershop operations.

The only way to guarantee that you will stay in business and have a prosperous barbershop is to take excellent care of your clients. Clients visiting your shop should feel that they are being well taken care of, and they should always have reason to look forward to their next visit. To accomplish this, your barbershop must be physically attractive, well organized, smoothly run, and, above all, sparkly clean.

PLANNING THE BARBERSHOP'S LAYOUT

One of the most exciting opportunities ahead of you is planning and constructing the best physical layout for the type of barbershop you envision. Maximum efficiency should be the primary concern. For example, if you are opening a low-budget barbershop offering quick service, you will need several stations and a small- to medium-sized reception area because clients will be moving in and out of the shop fairly quickly. Retail sales are essential to a profitable barbering business. Make sure the products you carry and the space you design reflect the importance of high retail sales (**Figure 21-5**).

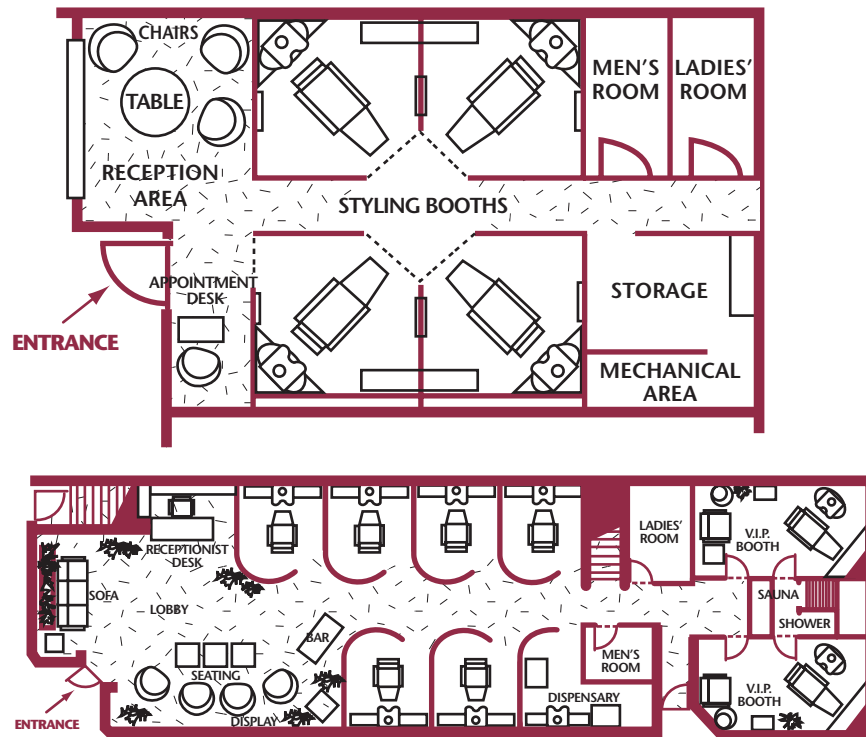
However, if you are opening a high-end barbershop where clients expect the quality of the service to be matched by the environment, you may want to plan for more room in the waiting area. In fact, you might choose to have several areas where clients can lounge and enjoy light snacks or



CAUTION

If planning on serving alcoholic beverages at your shop, check with your local and state laws to make sure you obtain all proper licenses and insurance.

figure 21-5
Barbershop floor plans.



beverages—from soda and coffee to alcoholic beverages. Most shops also provide complimentary Wi-Fi access to their guests.

Layout is crucial to the smooth operation of a barbershop. Once you have decided the type of shop that you wish to run, seek the advice of an architect with plenty of experience in designing barbershops. Ideally, the shop design you develop should include:

- ample aisle space
- space for each piece of equipment
- quality mirrors
- fixtures, furniture, and equipment chosen on the basis of cost, durability, utility, and appearance
- decoration and paint that is thematic and pleasing to the eye
- restrooms for clients and employees
- handicap-accessible facilities and doors
- good plumbing and lighting for services
- ventilation, air-conditioning, and heating
- sufficient electrical outlets and current adequate to service all equipment
- storage areas
- display areas
- an attractive, furnished, and comfortable reception or waiting area

Costs to create even a small barbershop in an existing space can range from \$75 to \$125 per square foot. Renovating existing space requires familiarity with building codes and the landlord's restrictions before you do anything. All the plumbing should be in the same area, and electrical wiring must be up to code. If they are not, you will pay thousands extra. Before you begin, get everything in writing from contractors, design firms, equipment manufacturers, and architects. It is a good idea to get three quotes on everything from contractors and cleaning services to barber stations and equipment. Do not be afraid to negotiate whenever you can.

Try to estimate how much each area in the barbershop will earn, so you can use space efficiently. An inviting retail display in your reception area is a good investment; on the other hand, an employee break area produces no income. In addition to start-up costs for creating your barbershop, you will need financing for operational expenses. Realistically, you should plan to have at least several months and up to 1 year of expenses available to help get you up and running. It takes most new shops about 6 months to begin operating at full capacity.

PERSONNEL

Your **personnel** (PER-son-elle) is your staff or employees. The size of your barbershop will determine the size of your staff. Large shops may require receptionists, barbers, colorists, manicurists, assistants, and housekeepers (Figure 21-6).

Smaller barbershops have some combination of these personnel who perform more than one type of service. For example, a barber might also be the colorist. Ultimately, whether your barbershop is large or small, high end or economical, the success of a shop depends on the attitude and quality of work done by the staff.

figure 21-6
Your barber personnel.



© Nejron Photo/Shutterstock.com.

When interviewing potential employees, consider the following:

- **Level of skill.** What is their educational background? When was the last time they attended an educational event? How long have they been in the industry? What can they bring to the organization beyond barbering?
- **Personal grooming.** Do they look like professionals you would consult for personal grooming advice?
- **Image as it relates to the barbershop.** Are they too progressive or too conservative for your environment? Does their image reflect the image of your business?
- **Overall attitude.** Are they mostly positive or mostly negative in their responses to your questions? Do they seem self-motivated and self-directed?
- **Communication skills.** Are they able to understand your questions? Can you understand their responses?
- **Work history.** Have they been at a previous barbershop for many years, or do they hop from shop to shop? Are they bringing a clientele, or do they expect you to build one for them?

Making good hiring decisions is crucial. Undoing bad hiring decisions is painful for all involved, and it can be more complicated than one might expect.

Payroll and Employee Benefits

To have a successful business, one in which everyone feels appreciated and is happy to work hard to service clients well, you must be willing to share your success with your staff whenever it is financially feasible to do so. You can do this in a number of ways:

- Make it your top priority to meet your payroll obligations. In the allotment of funds, this comes first. It will also be your largest expense.
- Whenever possible, offer hardworking and loyal employees as many benefits as possible. Either cover the cost of these benefits, or simply make them available to employees, who can decide if they can cover the cost themselves.
- Provide staff members with a schedule of employee evaluations. Make it clear what is expected of them if they are to receive pay increases.
- Create and stay with a tipping policy. It is a good idea for both your employees and your clients to know exactly what is expected. It is also important to be familiar with the tax laws around tipping.
- Put your entire pay plan in writing.
- Create incentives by giving your staff opportunities to earn more money, prizes, or tickets to educational events and trade shows; when a reward is involved, it can inspire employees to achieve more.
- Create barbershop policies and stick to them. Everyone in the shop should be governed by the same rules, including you!



ACTIVITY

What would your dream barber-shop look like? Try your hand at designing a shop that would attract the kinds of clients you want; offer the services you would like to specialize in; and provide an efficient, comfortable working environment for barbers.

Draw pictures, use word pictures, or try a combination of both. Pay attention to practical requirements, but feel free to dream a little, too. Skylights? A mechanical bull? You name it. It's your dream!

Managing Personnel

As a new barbershop owner, one of your most challenging tasks will be managing your staff. At the same time, leading your team can also be very rewarding. If you are good at managing others, you can make a positive impact on their lives and their ability to earn a living. If managing people does not come naturally, do not despair. People can learn how to manage other people, just as they learn how to drive a car or perform hair services. Keep in mind that managing others is a serious job. Whether it comes naturally to you or not, it takes time to become comfortable with the role.

Human resources, or HR, is an entire specialty in its own right. It covers not only how you manage employees but also what you can and cannot say when hiring, managing, or firing them. All employers must be familiar with various civil rights laws, including Equal Employment Opportunity Commission (EEOC) regulations, and the Americans with Disabilities Act (ADA), which pertains to hiring and firing, as well as business design for accessibility. Every business should have a written personnel policies and procedures manual, and every employee must read and sign it. If you choose to use a payroll company, it can provide HR services and employee manuals for a nominal fee. The more documented systems you have for managing human resources, the better.

There are many excellent books, both within and outside the professional barbering industry, that you can use as resources for learning about managing employees and staff. Spend an afternoon online or at your local bookstore researching the topic and purchasing materials or registering for classes that will educate and inform you. Once you have a broad base of information, you will be able to select a technique or style that best suits your personality and that of your barbershop.

THE FRONT DESK

Most shop owners believe that the quality and pricing of services are the most important elements of running a successful barbershop. Certainly these are crucial, but too often the front desk—the operations center—is overlooked. The best barbershops employ professional receptionists to handle the job of answering phones, scheduling appointments, greeting clients, and attending to the clients' needs.

The Reception Area

First impressions count, and since the reception area is the first area clients see, it needs to be attractive, appealing, and comfortable. This is your barbershop's nerve center, where retail merchandise is on display, the phone system is centered, financial transactions are carried out, and your receptionist stands, should you employ one.

Make sure that the reception area is stocked with business cards and there is a prominently displayed price list that shows at a glance what your clients should expect to pay for various services.

The Receptionist

When it comes to staffing, your receptionist is second in importance only to your licensed professionals. A well-trained receptionist is crucial because the receptionist is the first and last person the client contacts. The receptionist

should have an image that reflects your brand, should be pleasant and patient, should greet each client with a smile, and should address each client by name. Efficient, friendly, and consistent service fosters goodwill, confidence, and satisfaction.

In addition to filling the crucial role of greeter, the receptionist handles other important functions, including answering the phone, booking appointments, informing barbers that a client has arrived, preparing daily appointment information for the staff, and recommending additional services and products to clients. The receptionist should have a thorough knowledge of all retail products carried by the shop so that they or he can also serve as a salesperson and information source for clients.

During slow periods, it is customary for the receptionist to perform certain other duties and activities, such as straightening up the reception area and maintaining inventory and daily reports. Personal calls or personal projects are done on personal time, not at work.

Booking Appointments

The key duty of the receptionist is booking appointments. This must be done with care because services are sold in terms of time on the appointment page. Appointments must be scheduled to make the most efficient use of everyone's time—both the client and the barber. Under ideal circumstances, a client should not have to wait for a service, and a barber should not have to wait for the next client.

Booking appointments is primarily the receptionist's job, but when they are not available, the barbershop owner or manager, or one of the other professionals in small barbershops, can help with scheduling. It is important for each person involved in working the reception area to understand how to book an appointment and how much time is needed for each service. Regardless of who actually makes the appointment, anyone who answers the phone or deals with clients must have a pleasing voice and personality.

Appointment Book

The appointment book helps barbers arrange time to suit their clients' needs. It should accurately reflect what is taking place in the shop at any given time. In larger barbershops, the receptionist prepares the appointment schedule for staff members; in smaller shops, each person may prepare their own schedule (Figure 21-7).

Increasingly, the appointment book is a computerized book that is easily accessed through the barbershop's computer system. It may also be an actual hard copy book that is located on the reception desk. Some shops have websites with online booking systems, which tie into barbershop management software.

figure 21-7
Schedule appointments.



USE OF TELEPHONE IN THE BARBERSHOP

A majority of barbershop business is handled over the telephone. Good telephone habits and techniques make it possible for the barbershop owner and employees to increase business and improve relationships with clients and suppliers. With each call, a gracious, appropriate response helps build the shop's reputation. For example, "Thank you for calling Milady Barbers, Shannon speaking. How may I help you?"

Good Planning

Because it can be noisy, business calls to clients and suppliers should be made at a quiet time of the day or from a quiet area of the shop. When using the telephone, you should:

- have a pleasant telephone voice, speak clearly, and use correct grammar. A smile on your face should reflect in your voice and counts a lot.
- show interest and concern when talking with a client or a supplier.
- be polite, respectful, and courteous to all, even though some people may test the limits of your patience.
- be tactful. Do not say anything to irritate the person on the other end of the line.

Incoming Telephone Calls

An incoming call is often your client's first impression of your business. Clients usually call ahead for appointments with a preferred barber, or they might call to cancel or reschedule an appointment. The person answering the phone should have the necessary telephone skills to handle these calls.

When you answer the phone, say, "Good morning (afternoon or evening), thank you for calling Milady Barbers. How may I help you?" or "Thank you for calling Milady Barbers. This is Jonathan speaking. How may I help you?" Some barbershops require that you give your name to the caller. The first words you say tell the caller something about your personality. Let callers know that you are glad to hear from them.

Answer the phone promptly. A good rule of thumb is to not let the phone ring more than three times. On a system with more than one line, if a call comes in while you are talking on another line, ask to put the first person on hold, answer the second call, and ask that person to hold while you complete the first call. Take calls in the order in which they are received.

If you do not have the information requested by a caller, either put the caller on hold and get the information or offer to call the person back with the information as soon as you have it.

Do not talk with a client standing nearby while you are speaking with someone on the phone. Have one conversation at a time to avoid doing a disservice to both clients.

Booking Appointments by Phone

When booking appointments, take down the client's first and last name, their phone number, their e-mail address, and the service booked. Many barbershops call the client to confirm the appointment 1 or 2 days before it is scheduled. Automated systems can send an e-mail or even a text message confirmation.

You should be familiar with all the services and products available in the barbershop and their costs, as well as which barbers or specialists perform specific services, such as color correction. Be fair when making assignments. Do not schedule six appointments for one professional and only two for another, unless it is necessary because you are working with specialists.

However, if someone calls to ask for an appointment with a particular barber on a particular day and time, make every effort to accommodate the client's request. If the barber is not available, handle the situation in one of the following ways:

- Suggest other times that the barber is available.
- If the barber cannot come in at any of those times, suggest another professional.
- If the client is unwilling to try another barber, offer to call the client if there is a cancellation at the desired time.

Handling Complaints by Telephone

Handling complaints, particularly over the phone, is a difficult task. The caller is probably upset and possibly short tempered. Respond with self-control, tact, and courtesy, no matter how trying the circumstances. Only then will the caller feel that they have been treated fairly.

The tone of your voice must be sympathetic and reassuring. Your manner of speaking should convince the caller that you are really concerned about the complaint. Do not interrupt the caller. After hearing the complaint in full, try to resolve the situation quickly and effectively.

Know How to Build Your Business

After reading this section, you will be able to:

LO 8 Validate why advertising is a vital aspect of a barbershop's success.

A new barbershop owner will want to get the business up and running as soon as possible to start earning some revenue and to begin paying off debts. The first area of opportunity for building your business is through social media.

SOCIAL MEDIA

The term **social media** refers to a platform used to engage and communicate with groups of people by way of online communities, networks, websites, or blogs, for personal or professional means. Social media platforms such as Facebook, Twitter, YouTube, and Instagram are free to use and a great way to build awareness about your business and at the same time engage your audience in an interactive format. Some barbershops have one person in charge of their social media to control the content and ensure certain standards are met. Other shops allow the staff to post on their behalf.

Some guidelines to effectively using social media are listed here:

- Have the same username for all accounts.
- Get permission from clients if you use their image in your posting.
- Post regularly so your followers pay attention.
- Respond to questions, comments, or “likes.”

Another, more costly option the new shop owner should consider is advertising the barbershop. It is important to understand the many aspects of advertising.

ADVERTISING

The term *advertising* encompasses promotional efforts that are paid for and are directly intended to increase business.

Advertising includes all activities that promote the barbershop favorably, from newspaper ads to radio spots to charity events that the shop participates in, such as fashion shows. To create a desire for a service or product, advertising must attract and hold the attention of readers, listeners, or viewers.

Satisfied clients are the very best form of advertising because they will refer your barbershop to friends and family. So make your clients happy (**Figure 21-8**)! Then, have your clients work for you. Develop a referral program and a loyalty program in which the referring client reaps a reward.

If you have some experience developing ads, you may decide to do your own advertising. On the other hand, if you need help, you can hire an agency or ask a local newspaper or radio station to help you produce the ad. As a general rule, an advertising budget should not exceed 3 percent of your gross income. Make sure you plan well in advance for holidays and special yearly events, such as proms, New Year’s Eve, or the wedding season.

figure 21-8
Keep your clients happy.



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WEB RESOURCES

This chapter provides a general overview of the complex issues involved in barbershop ownership. There are many resources on the Internet for further study. These can get you started:

Design

- beautydesign.com
- Click on the Design Center tab to view various barbershop layouts and to see photos of shops from all over the world.
- collinsmfgco.com

Human Resources

- dol.gov/compliance/guide
The Department of Labor's website. Search for: employment law guide.
- eeoc.gov
Research relevant to equal employment opportunity regulations; check out the compliance manual.
- hr.blr.com
Human resources-related business and legal reports. Find a forum, dozens of topics, and regulations by state.

Small Business Ownership and Operation

- business.com
Advice on business topics from A to Z and business resources for accounting, sales, marketing, technology, and more.
- isquare.com
The Small Business Advisor.
- salonbuilder.com
Information on starting a barbershop.
- smallbusinessnotes.com
Various business-related articles.
- strategies.com
The source for barbershop business growth seminars, training, and coaching.

Barbershop Software

- harms-software.com
- shortcuts.net
- salonbizsoftware.com
- saloniris.com
- salon-software.com

Make certain you know what you are paying for. Get everything in writing. No form of advertising can promise that you will get business. Sometimes, local circulars can work well. You must know your clientele, which types of media they use, and what kinds of messages attract them.

Here are some tools you may choose to attract customers to the barbershop:

- Newspaper ads and coupons.
- Build a website. If you don't have a large budget now, buy your domain name and keep that ownership current. You can set up a site very inexpensively, and as your business grows, you can build it to have many pages and features. Building a website is an easy way for new clients to find you through Internet searches or friends sharing links.
- E-mail newsletters and discount offers to all clients who have agreed to receive such mailings. (Always include an *Unsubscribe* link.) You can also purchase e-mail lists targeted to your demographic to help you build your subscriber list.
- Website offerings, including those on your own website, social networking websites, and blogs.
- Direct mail to mailing lists and your current barbering client list.
- Classified advertising.
- Giveaway promotional items, such as branded combs, or retail packages, like shampoos and colognes.

ACTIVITY

All the planning in the world cannot guarantee success as much as a happy client can. Great customer service and a fabulous customer experience are the most important aspects of barbershop success. What will your customer service look like? Imagine you are calling or walking into your dream shop. Write down everything about your ideal experience as a customer, from the way you are greeted, to the actual service, to checkout at the desk when you leave. Include all five senses.

- Window displays that attract attention and feature the barbershop and your retail products.
- Radio advertising.
- Television advertising.
- Community outreach by volunteering at men's and women's clubs, church functions, political gatherings, and charitable affairs and on TV and radio talk shows.
- Make donations of services for local organizations like school fundraisers.
- Client referrals.
- In-shop videos that promote your services and products.
- Create an on-hold message featuring your shop's best attributes.

Many of these vehicles can help you attract new clients, but the first goal of every business should be to maintain current clients. It takes at least three shop visits for a new client to become a loyal current client. Encourage your staff to have their guests prebook their appointments: Just because a client has visited the barbershop 100 times does not mean they will come again. By having a prebooking system in place, you are guaranteeing future business. Once you have a loyal client base, it is far less expensive to market to that base. That is why you should follow up every visit to determine the client's satisfaction and why you should personally contact any client who has not been in the shop for more than 8 weeks.

SELLING IN THE BARBERSHOP

An important aspect of the barbershop's financial success revolves around upselling (adding on additional services), cross promoting (encouraging a client who is booked for a haircut to also get a manicure or facial), and retailing (selling take-home or maintenance products). No matter the size or style of your business, adding services and retail sales to your service ticket

means additional revenue. Remember: your clients will spend money during their visit. It is your job to encourage your clients to invest in retail and services that will keep them coming back for more, while also helping to maintain the look you just gave them!

It is important that we as professionals feel confident in selling services and retail. Remove any negative feelings or stereotypes you have toward sales or sales people and start fresh. Helpful and knowledgeable professionals make customer care their top priority. These people play a major role in the lives of their customers and are very valuable to clients because they offer good advice. In fact, the successful barbershop owner, like the successful barber, makes their living by giving complete image advice every day (Figure 21-9).

figure 21-9

Selling retail products benefits everyone and affects profits.



REVIEW QUESTIONS

- 1 What are the two most common options for going into business for yourself?
- 2 List at least three of the basic factors that potential barbershop owners should consider before opening their doors.
- 3 How many types of barbershop ownership are there? What are they?
- 4 List the categories of information that should be included in a business plan.
- 5 Why is it important to keep good records? What types of records should be kept?
- 6 When interviewing potential employees, what are the six factors to keep in mind?
- 7 What responsibilities does a booth renter assume?
- 8 List the four elements of a successful barbershop.
- 9 Name five advertising tools you might use to attract customers to your barbershop.
- 10 Why is selling services and products such a vital aspect of a barbershop's success?

CHAPTER GLOSSARY

barbershop operation	p. 760	the ongoing, recurring processes or activities involved in the running of a barbershop for the purpose of producing income and value
barbershop policies	p. 760	the rules or regulations adopted by a barbershop to ensure that all clients and associates are being treated fairly and consistently
business plan (BIZ-nez plahn)	p. 759	a written description of your business as you see it today and as you foresee it in the next 5 years (detailed by year)
business regulations and laws (BIZ-nez reg-U-lay-shuns AND LAWZ)	p. 759	any and all local, state, and federal regulations and laws that you must comply with when you decide to open your barbershop or rent a booth
capital (KAP-uh-tal)	p. 761	money needed to invest in a business
consumption supplies (KON-sump-shun sup-LYZ)	p. 766	supplies used in the daily business operation
corporation (KOR-pour-aye-shun)	p. 761	an ownership structure controlled by one or more stockholders
demographics (dem-oh-graf-iks)	p. 759	information about a specific population including data on race, age, income, and educational attainment
goals (GOHLZ)	p. 757	a set of benchmarks that, once achieved, help you to realize your mission and your vision
insurance (in-SHUR-ens)	p. 760	guarantees protection against financial loss from malpractice, property liability, fire, burglary and theft, and business interruption
partnership (PART-nur-ship)	p. 760	business structure in which two or more people share ownership, although not necessarily equally
personnel (PER-son-elle)	p. 770	your staff or employees
record keeping (REK-urd KEEP-ing)	p. 760	maintaining accurate and complete records of all financial activities in your business
retail supplies (REE-tail sup-LYZ)	p. 766	supplies sold to clients
social media	p. 775	a platform used to engage and communicate with groups of people through online communities, networks, websites, or blogs, for personal or professional means
sole proprietor (SOHL PRHO-pry-eh-tohr)	p. 760	individual owner and, most often, the manager of a business
vision statement (VIZ-uhn state-ment)	p. 757	a long-term picture of what the business is to become and what it will look like when it gets there
written agreements (RIT-en UH-gree-mentz)	p. 758	documents that govern the opening of a barbershop, including leases, vendor contracts, and employee contracts; all of these detail, usually for legal purposes, who does what and what is given in return

APPENDIX

FORMERLY CHAPTER 20, NAILS AND MANICURING IS PRESENTED HERE TO MEET THE INSTRUCTIONAL NEEDS OF THE FEW STATES THAT INCLUDE THIS SUBJECT IN THEIR BARBERING CURRICULUM.



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NAIL CARE